

F

54 |

FIVE YEARS AGO, when Nilesh Gupta took the plunge into private labels—home-grown brands hawked by retailers—the market for such brands was minuscule in India. Gupta, who runs the show at electronics retail chain Vijay Sales as its Managing Director, has spearheaded a business that has grown from less than 80 physical stores to more than 110 stores across the national capital region (NCR), Maharashtra, Gujarat and Andhra Pradesh. In 2019, it acquired Hyderabad-based electronics retail chain Tirumala Music Centre to further accelerate its growth. But it is its private label brand—VISE—that continues to emerge as the clear winner. Growing at a high double-digit rate, Gupta says the in-house brand has been outperforming Vijay Sales' overall business growth since it was launched in FY2015-16. Currently, the private label brand—under which Vijay Sales at this point sells only smart LED television sets—contributes nearly 10 per cent of its revenue from the product category, and helps it garner higher profits.

Encouraged by its success, Gupta and his team are now chalking out plans to expand the group's private labels business into other products in the large home appliances segment, which has become an essential part of daily lives across middle-income households. "Positioned at the opening price points for smart LED TVs—measuring 32-43 inches—the brand is doing very well. Currently, we are monitoring the market dynamics as we plan to expand into categories like air conditioners and washing machines," says Gupta. For perspective, a 32-inch VISE television set costs ₹11,990 compared to around ₹23,000-30,000 for bigger brands such as LG, Samsung or Sony.



"Choosing markets wisely is critical for efficient growth. However, the aspect of right pricing should be considered in parallel. It becomes critical, as 76 per cent of shoppers claim to compare the prices of private labels with leading brands"

SHASHWAT GOENKA
DIRECTOR, SPENCER'S
RETAIL LIMITED

Gupta isn't alone. Over the past few years, the growth in the private label space has increased significantly as retailers launched new home-grown brands in search of better margins and higher sales. From physical retail majors such as Reliance Retail, Spencer's and METRO Cash & Carry India to e-commerce players like bigbasket and Purple.com and many others, everyone is churning out private labels like their survival depended on it.

Well, data shows that growth, at least, is much shinier when private labels are in the picture. As per a report by professional services firm KPMG and industry body Retailers Association of India (RAI), the organised retail market in India is growing at 19 per cent CAGR since 2016, while the growth rate for private labels during the same period stands at a remarkable 38 per cent. Comparatively, the rate of growth for India's overall retail market (including organised and unorganised) is 12 per cent. As a result, private labels are estimated to grow into a ₹2.94-lakh crore market in 2022—up from ₹42,000 crore in 2016.

WHAT IS FUELLING THIS GROWTH?

Both experts and industry insiders are of the opinion that the surge in retailers' push for private labels would find its roots in higher sales growth and the better margins that in-house brands offer. Data from the KPMG-RAI report shows, private labels offer 40-175 per cent higher margins compared to regular brands that retailers sell in their stores and digital platforms. The numbers are slightly lower for segments such as wellness and grocery—private label brands offer margins of

25 per cent and 14 per cent, respectively, compared to 18 per cent and 10 per cent for regular brands. For segments like consumer durables and IT products, the margin is as high as 55 per cent, compared to 20 per cent for regular brands.

Sounds great for the seller, but why is the consumer buying private labels? That, says Harish Bijoor, brand strategy specialist & owner, Harish Bijoor Consults, is due to the increasing awareness among consumers about product offerings and pricing, apart from declining brand loyalty and increasing commoditisation of consumer goods. "The consumer is increasingly questioning the value that they are getting from established brands, as lookalike products are available at a cheaper rate in the form of private labels," he says. According to Harsha Razdan, National Leader—Consumer Markets, Life